BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 23-G-0225 & 23-G-0226

September 1, 2023

Prepared Testimony of:

Staff Efficiency Panel

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Q. Members of the Staff Efficiency Panel, referred to as the Panel, please state your names, employer, and business address.

A. Our names are Kathryn Mammen, Robert Cully, Kate Overacker, Maude Emerson, and Teresa Mar. We are employed by the New York State Department of Public Service, or Department. Our business address is Three Empire State Plaza, Albany, NY 12223, except for Ms. Mar, whose business address is 90 Church St, New York, NY 10007.

Q. Ms. Mammen, please state your position at the Department.

A. I am a Utility Supervisor in the Clean Energy Section of the Office of Markets and Innovation, or OMI.

Q. Ms. Mammen, please state your educational background.

A. I received a Bachelor of Arts Degree in sociology from Fordham University in 2006. I also received a Master of Public Administration from Rockefeller College of Public Affairs & Policy at the University at Albany, State University of New York in 2010.

Q. Ms. Mammen, describe your professional

experience and your position at the Department.

A. I joined the Department in 2009, first as an intern for the Secretary to the Commission, and later as a Utility Analyst in the Office of Energy Efficiency and the Environment where I was responsible for overseeing the implementation and evaluation of energy efficiency, referred to as EE, programs offered under the Energy Efficiency Portfolio Standard, referred to as EEPS. Currently, my relevant responsibilities include reviewing and monitoring utility EE programs and developing policy recommendations for Commission consideration related to EE, and other clean energy activities.

Q. Ms. Mammen, have you previously testified before the Public Service Commission, referred to as the Commission?

A. Yes. I testified to EE and building electrification, or BE, issues in numerous rate proceedings, including Cases 22-E-0064 and 22-G-0065, Consolidated Edison Company of New York, Inc.; Cases 21-G-0073 and 21-E-0074, Orange and Rockland Utilities, Inc.; Cases 19-E-0378, 19-G-

0379, 19-E-0380 and 19-G-0381, New York State Electric & Gas Corporation and Rochester Gas and Electric Corporation; Cases 19-E-0065 and 19-G-0066, Consolidated Edison Company of New York, Inc.; and Cases 15-G-0058 and 15-G-0059, KeySpan Gas East Corp. d/b/a National Grid, referred to as KEDLI, and The Brooklyn Union Gas Company d/b/a National Grid NY, referred to as KEDNY. I also testified in Case 16-W-0130, Suez Water New York Inc., on the issue of the water conservation program.

Q. Mr. Cully, please state your position at the Department.

A. I am currently employed as a Utility Engineering Specialist 3 assigned to the Clean Energy and Markets section of OMI.

Q. Mr. Cully, please state your educational background.

A. I graduated from Clarkson University with a Bachelor of Science degree in Environmental Engineering in May 2010.

Q. Mr. Cully, describe your professional experience and your position at the Department.

A. I have been employed by the Department since

August 2012. Since joining the Department, my responsibilities have included examining utility rates and fees, rate design, benefit cost analyses, or BCAs, demand response, or DR programs, electric standby service rates, electric and gas demand management programs, including Non-Wires Alternatives, or NWAs, Non-Pipes Alternatives, or NPAs, and Earning Adjustment Mechanisms, or EAMs.

Q. Mr. Cully, have you previously testified before the Commission?

A. Yes. I have testified in 24 rate proceedings since joining the Department, including in KEDNY and KEDLI's 2019 rate proceedings in Cases 19-G-0309 and 19-G-0310. Most recently, I testified in Cases 22-E-0064 and 22-G-0065, regarding Consolidated Edison Company of New York, Inc.

Q. Ms. Overacker, please state your position at the Department.

A. I am currently employed as a Utility Analyst 1 assigned to the Clean Energy and Markets section of OMI.

Q. Ms. Overacker, please state your educational background.

A. I attended the University of South Carolina from 1982 through 1984 majoring in Accounting and Business Administration. I graduated from the Culinary Institute of America in 2003 with a degree in Baking and Pastry Arts.

Q. Ms. Overacker, describe your professional experience and your position at the Department.

A. I have been employed by Department since May 2010. Since joining the Department, my responsibilities have included the analysis and reconciliation of the major investor-owned utilities' annual financials, examining demand response programs, electric and gas demand management programs, including NWAs and NPAs.

Q. Ms. Overacker, have you previously testified before the Commission?

A. No, I have not.

Q. Ms. Emerson, please state your position at the Department.

A. I am employed as a Utility Analyst 1 assigned to the Efficiency and Innovation Section of OMI.

Q. Ms. Emerson, please state your educational background.

A. I earned a Bachelor of Arts degree in English

from Harvard University in 2005 and a PhD in English from the University of California, Berkeley in 2017.

Q. Ms. Emerson, please describe your professional experience and your position at the Department.

A. I joined the Department in 2021. In my previous career I taught English and environmental studies, most recently as a Visiting Assistant Professor of English at Skidmore College. My primary areas of focus at the Department are utility electric vehicle, EE, and building electrification programs.

Q. Ms. Emerson, have you previously testified before the Commission?

A. Yes. I testified in Con Edison’s rate proceedings, in Cases 20-E-0064 and 20-G-0065.

Q. Ms. Mar, please state your position at the Department.

A. I am a fellow with the Department of Energy through the Clean Energy Innovator Fellowship program and began working with the New York State Department of Public Service in the Office of Markets and Innovation in September of 2022.

Q. Ms. Mar, please state your educational

background.

A. I received a Bachelor of Arts in both environmental studies and earth systems science from the University at Buffalo in 2022.

Q. Ms. Mar, describe your professional experience and your position at the Department.

A. I largely work on energy efficiency, building electrification, and transportation electrification initiatives, with a focus on disadvantaged communities.

Q. Ms. Mar, have you previously testified before the Commission?

A. No.

Q. What is the purpose of the Panel's testimony in this proceeding?

A. In our testimony, the Panel will address the Companies' proposals and provide recommendations regarding: (1) the Companies' proposed energy efficiency, or EE, funding; (2) the Companies' proposed EE-related labor requests; (3) the proposed KEDLI HEAT program; (4) the Companies' proposed incremental EE programs and pilots, including the Digital Building Replica Pilot, the Weatherization Health and Safety program,

the Language Access Pilot, and Disadvantaged Community Outreach; (5) the Companies' proposed energy efficiency information technology projects, specifically, Clean Energy 2.0, Green Button Connect, the Sustainability App and Tools, and Gas Data Modernization; and (6) the Companies proposals related to performance-based ratemaking, including EAMs and Capacity Demand Metrics.

Q. In this testimony, will the Panel refer to, or otherwise rely upon, any information obtained during the discovery phase of these proceedings?

A. Yes. We will refer to, and have relied upon, several responses to Department Staff Information Requests, or IRs, all of which are included in Exhibit__(SEP-1). We will refer to these responses by the designation given to them by the Department, e.g., DPS-123.

Q. Is the Panel sponsoring other exhibits?

A. Yes. The Panel is sponsoring three additional exhibits in our testimony.

Q. Please describe these exhibits.

A. Exhibit___(SEP-2) provides a summary of our revenue requirement-related adjustments

including service company rent expense, labor and non-labor operations and maintenance expense, and full time equivalent employee headcounts. Exhibit__(SEP-3) provides the inputs used to calculate the Panel's recommended annual million British Thermal Unit, or MMBtu, target for the KEDLI HEAT Program. Exhibit__(SEP-4) provides KEDNY and KEDLI's Earning Adjustment Mechanisms annual reports, the first submitted on April 15, 2022 covering the winter period ending March 31, 2022, and the second submitted on April 13, 2023 covering the winter period ending March 31, 2023.

Energy Efficiency Budgets

Q. How are the Companies' energy efficiency, or EE, programs funded?

A. As stated on pages 95-96 of the direct testimony of the Companies' Customer Panel, the Companies have annual EE budgets and targets for calendar years 2021-2025 set by the January 16, 2020 Order Authorizing Utility Energy Efficiency and Building Electrification Portfolios Through 2025, referred to as the 2020 New Efficiency: New York, or 2020 NE:NY Order, in Case 18-M-

0084, In the Matter of a Comprehensive Energy Efficiency Initiative. The Companies recover the costs of EE programs through base rates, as established in the Commission's Order Approving Joint Proposal, as Modified, and Imposing Additional Requirements, issued August 12, 2021, in Cases 19-G-0309 and 19-G-0310, or 2021 Rate Order. The Companies add that "KEDLI also administers the KEDLI HEAT program as part of its [low- and moderate-income] LMI NE:NY portfolio, using funding authorized in the 2019 KEDNY and KEDLI Rate Cases at $2.5 million per year in addition to NE:NY LMI budgets. The Companies propose to continue this program and the associated funding."

Q. Have the Companies previously collected any of their future-year NE:NY budgets?

A. Yes. As indicated on pages 69 and 70 of the direct testimony of the Companies' Revenue Requirements Panel, the Companies collected a portion of their future NE:NY budgets on an accelerated basis through the Demand Capacity Surcharge Mechanism, or DCSM.

Q. What is the DCSM and how is it used to recover

EE program costs?

A. The DCSM was established in the 2021 Rate Order to allow the Companies to recover costs associated with certain Long-Term Capital Capacity Projects and some EE and DR portfolio costs. The 2021 Rate Order specified on page 163 that the DCSM would allow the Companies to accelerate recovery of authorized EE program budgets to assist in addressing identified capacity constraints. The 2021 Rate Order provided that for Commission-approved EE costs not already included in base rates, in a given Rate Year, the Companies could recover through the DCSM 50 percent of a forecast of incremental costs incurred in that Rate Year, as well as the remaining actual costs incurred in the previous Rate Year including carrying charges.

Q. What EE budgets did the Companies reflect in the revenue requirement for the Rate Year?

A. For the Rate Year, the Companies used their prorated Commission-authorized NE:NY budgets for 2024 and 2025, adjusted to reflect amounts previously collected through the DCSM.

Q. What are the Companies' 2024 and 2025 EE

budgets, prorated for the Rate Year?

A. As indicated in the 2020 NE:NY Order and as shown in Exhibit___(RRP-11CU), Workpapers to Exhibit RRP-3CU, Schedule 25, Workpaper 3, the Companies' 2024 EE budgets are $42,864,882 for KEDNY and $32,656,933 for KEDLI, and their 2025 EE budgets are $54,115,606 for KEDNY and $39,367,030 for KEDLI. Prorated for the Rate Year, as calculated in the workpapers referenced above, the Companies' EE budgets are $45,677,563 for KEDNY and $34,334,457 for KEDLI.

Q. What amounts of accelerated EE funding did the Companies previously collect through the DCSM, and how did the Companies calculate these amounts?

A. The amounts of accelerated NE:NY funding recovered through the DCSM are $10,958,253 for KEDNY and $9,018,056 for KEDLI. Attachment 3 of the Companies' response to DPS-871, as shown in Exhibit___(SEP-1), demonstrates that these amounts represent the Companies' actual weatherization program expenditures from January through March 2022 plus fifty percent of their forecasted Fiscal Year, or FY, 2023

weatherization program expenditures. FY 2023 is the 12-month period ending March 31, 2023.

Q. Do the Companies' revenue requirement calculations appropriately reflect amounts previously collected through the DCSM?

A. Yes. The workpapers to Exhibit___(RRP-3), OM Sch 25 Energy Efficiency NY23 and Exhibit___(RRP-3), OM Sch 25 Energy Efficiency LI23 demonstrate that the Companies subtracted the amounts previously collected through the DCSM from the prorated Rate Year EE budgets to be collected, resulting in totals of $34,719,310 for KEDNY and $25,316,401 for KEDLI. This reflects the pre-collection of EE funding created by the DCSM and removes those pre-collected amounts from the Companies' revenue requirements in these proceedings.

Q. Given that the 2020 NE:NY Order only authorized EE budgets through 2025, what EE budgets did the Companies use to calculate the revenue requirement for years beyond 2025?

A. The Companies state that for the years beyond 2025, they used their Commission-authorized 2025 annual budgets. The Companies state that they

will update their revenue requirements if further future budgets are issued in the course of the NE:NY Interim Review. If no further budgets are established before the Commission sets rates in these proceedings, the Companies propose a true-up mechanism to reconcile recovery of the updated budgets against the annual budgets indicated in their rate filings and to collect any shortfall through a surcharge.

Q. Does Staff support this proposal?

A. No, the Panel does not support this proposal.

Q. Please explain.

A. On July 20, 2023, the Commission issued the Order Directing Energy Efficiency and Building Electrification Proposals in Cases 14-M-0094 and 18-M-0084, referred to as the Order Directing Proposals. While the Order did not authorize utility EE and Building Electrification (BE) budgets beyond 2025, it did put forth provisional annual budgets to guide the utilities' proposals for their EE and BE proposals for 2026 through 2030.

Q. What provisional annual EE budgets did the

Commission propose for KEDLI and KEDNY?

A. As outlined in the appendix to the Order Directing Proposals, KEDLI's provisional EE budgets for 2026 - 2030 are $23,070,760 annually for Non-LMI and $9,823,884 annually for LMI, and KEDNY's are $31,489,448 annually for non-LMI and $11,517,545 annually for LMI.

Q. Does the Panel recommend that the Companies use these provisional EE budgets to calculate their revenue requirements for years beyond 2025?

A. Yes. The provisional budgets included in the Order Directing Proposals are more appropriate placeholders for EE budgets for years beyond 2025 than the budgets proposed by the Companies. If the Commission authorizes annual EE and BE budgets that differ from these provisional amounts before the conclusion of this rate case, the Companies should update their revenue requirement calculations accordingly. If the Commission does not authorize post-2025 EE budgets until after the conclusion of these proceedings, the Panel anticipates the Commission would address cost recovery and reconciliation to the extent necessary.

Energy Efficiency Labor

Q. Are the Companies proposing any incremental full time equivalent employees, or FTEs, associated with their EE programs?

A. Yes. The Companies propose an additional 14 FTEs, or seven incremental FTEs for KEDNY and seven incremental FTEs KEDLI. In aggregate, seven FTEs would focus on program delivery, three FTEs on Channel Sales roles related to Commercial and Industrial, and Multifamily Weatherization, two and one half FTEs for technical/sales support, and one and one half FTEs focused on customer experience. Exhibit___(CP-6), Schedule 5, and the corrected and updated Exhibit___(CP-6CU), Schedule 5, reflect a minor difference from the Companies' direct testimony, in that the Companies request two FTEs for technical/sales support and two FTEs focused on customer experience.

Q. How many FTEs do the Companies plan to hire in the Rate Year and the two subsequent years?

A. As shown on page two of Companies' Exhibit___(CP-6), Schedule 5 indicates that the Companies plan to hire all 14 requested energy

efficiency FTEs in the Rate Year.

Q. What rationale do the Companies offer for requesting 14 additional energy efficiency FTEs?

A. The Companies state that since the 2020 Commission Order that established NE:NY budgets and targets for 2021-2025, the focus of their EE programs has shifted from incentives for efficient appliances to more labor-intensive weatherization measures. The Companies indicate that demand for their residential weatherization program has increased dramatically, and that their plans for the Rate Year and what the Companies refer to as Data Years, otherwise understood to be the Fiscal Years following the Rate Year, include an emphasis on commercial and industrial, multifamily, and small business projects and services requiring "custom" applications and multiple touchpoints with National Grid Project Managers. The Companies also note that the Climate Leadership and Community Protection Act, referred to as the CLCPA, prioritizes EE and clean energy investments in Disadvantaged Communities. The Companies state that they require additional

staffing to meet these policy goals, and that the 14 requested FTEs will focus primarily on achieving deeper savings through measures such as weatherization, especially in the LMI and Disadvantaged Community sectors.

Q. Does the Panel support KEDNY and KEDLI's request for 14 additional EE FTEs?

A. No. While the rationale that the Companies offer for their EE labor request aligns with the Panel's observations of the Companies' recent EE activities, as well as the direction that the Commission has set for the evolution of utility EE portfolios, the Companies have not supported the need for the full complement of 14 FTEs.

Q. What direction has the Commission set for evolving utility EE portfolios?

A. On pages 44 to 45 of the 2020 NE:NY Order, the Commission called for utilities to transition towards a greater emphasis on building envelope improvements. The Commission reiterated that call even more forcefully in subsequent orders, including the 2021 and 2022 Orders Regarding Incremental Demand-Side Management Programs in Cases 19-G-0309 and 19-G-0310, and in the 2021

Rate Order.

Q. Does the Panel recognize the labor intensification associated with this evolution?

A. Yes, the Panel recognizes that weatherization programs are more labor-intensive for the utilities to administer than traditional appliance rebate programs, especially as the Companies expand their offerings in the commercial and industrial, multifamily, and small business sectors and work to improve access to EE services for LMI customers and customers in Disadvantaged Communities.

Q. Yet the Panel does not support the Companies' request, please explain?

A. While the Panel recognizes the Companies' need for adequate staffing to administer their evolving EE portfolios, the Companies have already significantly increased their EE headcount in recent years. In the Companies' response to DPS-490, as shown in Exhibit___(SEP-1), as of March 31, 2020, prior to the current rate plan, EE labor dedicated to KEDNY and KEDLI totaled 28.5 FTEs. In the same response, the Companies indicate that the EE headcount at the

time of the response was 49.5 FTEs, or a 75 percent increase over three years.

Q. Does the Companies' current level of FTEs assigned to the EE portfolio comport with what was approved in the 2021 Rate Order?

A. No. The increase in the Companies' EE workforce over the past three years more than doubles the EE labor increase adopted in the Companies' current rate plans, pursuant to the Commission's 2021 Rate Order.

Q. What was approved in the 2021 Rate Order?

A. As shown in Appendix 1, Schedule 1, page 11 of 42 for KEDNY, and as shown in Appendix 2, Schedule 1, page 11 of 42 for KEDLI, of the 2021 Rate Order, the revenue requirements authorized by the Commission included five incremental EE FTEs for KEDNY and five incremental EE FTEs for KEDLI.

Q. How did the Companies explain the deviation from the Commission's approved rate plans?

A. In response to IR DPS-671, included in Exhibit___(SEP-1), the Companies state that in addition to the 10 FTEs authorized in the 2021 Rate Order, they hired eleven FTEs during the

rate plans to scale the Companies' existing EE programs and deliver new ones, such as their weatherization programs. This explanation runs counter to the Companies' statement on page 111 of the Customer Panel's direct testimony which states that "[t]he cohort of existing FTEs in the energy efficiency case were assembled to design the first layer of program build and delivery, without future expansion considered." To the contrary, the Panel believes the Companies have demonstrated that the expansion of their EE workforce to meet future demands is already well underway.

Q. Does the Panel believe that the number of incremental employees requested by the Companies is necessary to meet their NE:NY goals?

A. No. Although the Companies contend that their current EE workforce is strained, the Companies have continued to meet and exceed their annual NE:NY energy savings targets. Based on this performance, the Panel believes that a more moderate increase in FTEs is sufficient for the Companies to keep pace with the scaling of their NE:NY savings targets.

Q. What does the Panel recommend?

A. The Panel recommends allowing the Companies to add approximately six FTEs in aggregate, rather than 14. The Panel also recommends removing in their entirety the one FTE associated with Clean Energy 2.0 and 0.5 FTEs associated with Green Button Connect. These adjustments, and other revenue requirement-related adjustments we recommend later in this testimony, are summarized in Exhibit___(SEP-2). We will discuss these programs later in our testimony. We believe that this recommendation strikes an appropriate balance between supporting the expansion and evolution of the Companies' EE offerings, which are essential to meeting State policy objectives, and recognizing the significant expansion of the Companies' EE workforce that has already taken place in the past several years.

Q. Do the Companies request any other FTEs related to EE programming in addition to the 14 FTEs we just discussed?

A. Yes. The Companies also propose four new Strategic Account Manager positions and one

group manager associated with these positions. The Strategic Account Managers would assist high-volume customers with EE program participation, among other functions. This FTE request is addressed by the Staff Consumer Services Panel.

KEDLI Heat Program

Q. Please describe the KEDLI HEAT Program.

A. KEDLI HEAT is an income-eligible EE program that operates in place of the New York State Energy Research and Development Agency, or NYSERDA, -administered EmPower Plus program for gas customers in the Long Island service territory. KEDLI HEAT offers a Home Energy Assessment to help customers understand which weatherization measures are appropriate for their home. In 2022, the program expanded eligibility to include moderate income customers, which are recognized as those with incomes "below 80% of the Area Median Income or State Median Income, whichever is greater, and aligns with federal Housing and Urban Development, or HUD, definitions for eligibility for affordable housing", as defined in the Joint Utilities'

Statewide Low-to Moderate-Income Portfolio Implementation Plan. Now, the program serves LMI customers and is part of the NE:NY LMI portfolio. Each year, $2.5 million is available for the KEDLI HEAT program. The Companies propose continuing the program at the same level of funding.

Q. What services does KEDLI HEAT offer?

A. After a Home Energy Assessment, KEDLI refers customers to qualified contractors to carry out the recommended weatherization actions. These upgrades come at low or no cost to customers.

Q. What is the Panel's assessment of the program?

A. The Panel supports continuing the KEDLI HEAT Program. In accordance with the Commission's Order Authorizing the Clean Energy Fund Framework, issued on January 21, 2016, in Case 14-M-0094, beginning in 2017, NYSERDA no longer offers its programs within the KEDLI service territory. To ensure LMI customers within KEDLI's service territory continue to receive targeted energy efficiency offerings, which had historically been provided by NYSERDA, the Commission required KEDLI to implement its own

low-income energy efficiency program as of 2017. To fulfill this requirement, KEDLI developed and implemented its HEAT Program.

Q. Is the KEDLI HEAT Program still needed in the KEDLI service territory?

A. In the near term and as explained later, there remains a need for the Company to maintain the KEDLI HEAT Program such that KEDLI LMI customers do not experience a decrease in targeted energy efficiency services due to reduced funding.

Q. Does the Panel recommend any adjustments to the HEAT Program budget proposed by KEDLI?

A. No. The Panel supports the proposed budget for the Rate Year and annually through the end of calendar year 2025.

Q. Why does the Panel only support the KEDLI HEAT program through the end of 2025?

A. On September 15, 2022, the Commission issued an Order Initiating the NE:NY Interim Review and Clean Energy Fund Review, in Cases 18-M-0084 and 14-M-0094. As part of the Interim Review, the Commission reexamined the roles and responsibilities of NYSERDA and New York State's other investor-owned utilities in delivering EE

and Building Electrification, or BE, services to customers. In the Commission's July 20, 2023, Order Directing Energy Efficiency and Building Electrification Proposals, or Order Directing Proposals, in Case 18-M-0084, the Commission assigned NYSERDA sole responsibility for implementing statewide LMI programs for the one to four family home segment beginning in 2026. As such, KEDLI's HEAT Program should end on December 31, 2025.

Q. Does the Panel have any recommendations regarding the transition from the KEDLI HEAT Program to NYSERDA's Statewide LMI Program?

A. Yes. The Panel recommends KEDLI take affirmative steps and work closely with NYSERDA to ensure a smooth handoff of LMI program delivery responsibilities. The Panel further recommends KEDLI commit to complete all HEAT projects in the queue by the end of 2025, to ensure KEDLI HEAT participants are not unnecessarily inconvenienced by the transition to NYSERDA as the LMI program administrator. To that end, the Panel recommends that the Commission require KEDLI, in consultation with

NYSERDA and DPS Staff, to develop and file a detailed transition plan addressing customer outreach to inform affected customers, planned periodic reporting, processes to limit or avoid gaps in program offerings, and a specific process and timeframe for completing the KEDLI HEAT projects beyond 2025. The Panel also recommends that the Commission impose a deadline of no later than January 1, 2025, for submission of KEDLI's plan.

Q. Does KEDLI propose an MMBtu target associated with the HEAT program?

A. No. In the Companies' response to DPS-497, as shown in Exhibit___(SEP-1), the Companies state that the KEDLI HEAT program contributes to a 2020 through 2025 KEDLI LMI Gas Target of 186,087 MMBtu, as outlined in the Statewide LMI Portfolio Implementation Plans, which is jointly filed in Cases 14-M-0094 and 18-M-0084 by the utility program administrators and NYSERDA, in accordance with the 2020 NE:NY Order.

Q. Does the Panel agree with KEDLI's characterization of the HEAT program's role in contributing toward the Company's LMI target of

186,087 MMBtu?

A. No. The target cited by KEDLI in its response, to DPS-497 is not correct. The target the Companies refer to, is, with a 1 MMBtu difference likely due to rounding, equal to the cumulative total of the targets authorized by the Commission in two of its Orders adopted in Case 18-M-0084. First, in its December 13, 2018 Order Adopting Accelerated Energy Efficiency Targets, referred to as the 2018 NE:NY Order, the Commission adopted a 2019 through 2020 LMI budget of $668,706 with an associated target of 6,191 MMBtu. Then, in the 2020 NE:NY Order, the Commission authorized a 2021 through 2025 KEDLI LMI budget of $19,432,424 with an associated target of 179,897 MMBtu. Combined, the two Orders adopted a total 2019-2025 KEDLI LMI budget of $20,101,130 with an associated target of 186,088 MMBtu. Importantly, the budgets authorized in those two Orders do not include the $2.5 million per year funding associated with the KEDLI HEAT Program and, therefore, the Companies' assertion that the KEDLI HEAT Program contributes toward the total target adopted in

those orders is inaccurate.

Q. Does the Panel support allowing the Company to implement this LMI program without an associated target?

A. No, the Panel recommends establishing a program target for the KEDLI HEAT Program that is in line with the Commission authorized LMI dollar per MMBtu run rate implicit in the 2018 and 2020 NE:NY Orders.

Q. Please walk us through the specific calculations.

A. Specifically, as provided in Exhibit__(SEP-3), dividing the total 2019 through 2025 budget by the total 2019 through 2025 target results in an authorized LMI run rate of $108.02 per MMBtu. To calculate a target for the KEDLI HEAT program, the Panel recommends applying that run rate of $108.02 per MMBtu to the $2.5 million annual budget.

Q. What is the resulting annual target the Panel recommends for the KEDLI HEAT Program?

A. The Panel recommends that the Commission adopt and require KEDLI to meet an annual KEDLI HEAT Program target of 23,144 MMBtu.

Incremental Energy Efficiency Programs and Pilots

Digital Building Replica Pilot

Q. Please describe the Companies' proposed Digital Building Replica Pilot.

A. The Companies propose the Digital Building Replica Pilot to test the ways in which advanced building data models can help inform energy planning and drive EE improvements at school buildings. The Companies propose to select schools such that the majority of schools included in the program are located in Disadvantaged Communities.

Q. What specific information are the Companies intending to obtain through the implementation of this pilot program?

A. The Companies seek to understand how energy savings can be acquired, the cost effectiveness of implementing certain EE upgrades, and how to apply any lessons learned to other large buildings.

Q. What are the costs associated with the Digital Building Replica Pilot?

A. The proposed cost of the pilot is $0.5 million in the Rate Year, only, shared between KEDNY and

KEDLI. KEDNY would assume a 40 percent share of the cost or $200,000 and KEDLI a 60 percent share or $300,000.

Q. Does the Panel support including the proposed Pilot in the Companies' revenue requirements?

A. No. The Panel recognizes that advanced data modeling may be a useful tool for enabling building owners to make smart decisions regarding EE improvements. The Panel also appreciates the Companies' focus on school buildings in Disadvantaged Communities, where this tool might be especially helpful to decision-makers dealing with budget constraints and historically under-resourced buildings. However, the Panel does not agree that the program should be funded with funds incremental to the Companies' currently authorized NE:NY budgets.

Q. Why is it inappropriate to provide incremental funding for the proposed Digital Building Replica Pilot?

A. The NE:NY Budgets are intended to support innovative energy efficiency and building electrification programs, including programs

like the proposed Digital Building Replica Pilot that support energy efficiency through modeling. Further, requiring the Companies to use their existing NE:NY budgets to fund any and all energy efficiency efforts, ensures the Companies pursue innovations that will maximize energy savings and integrate with existing programs. As such, it is inappropriate to provide incremental funding for this pilot.

Q. Are there any other reasons the Panel does not support this program?

A. Yes, beyond the existence of an already available funding source for such programs, the Panel believes such a pilot would be duplicative of NYSERDA's Clean Green Schools Initiative, which already targets this building segment.

Q. Describe the NYSERDA Clean Green Schools Initiative.

A. The NYSERDA P-12 Clean Green Schools Initiative targets school buildings located in Disadvantaged Communities with the goal of understanding what EE measures would be beneficial for reducing cost, carbon, and energy consumption.

Q. What are the benefits of relying on the NYSERDA P-12 Clean Green Schools Initiative rather than the Digital Building Replica Pilot for gaining insight into school building energy use and efficiency potential?

A. Unlike the Companies' pilot program, the NYSERDA is implementing its program across New York State, including in the Companies' service territories, which will produce results that are more widely useful or adaptable across the State rather than results that are only applicable to KEDLI and KEDNY.

Q. What does the Panel recommend the Companies do to obtain the sought-after information?

A. The Panel recommends that the Commission require the Companies to coordinate with NYSERDA to identify gaps and opportunities that exist to target schools in disadvantaged communities. In addition, the Companies should share the specific information being sought through the Digital Building Replica Program with NYSERDA and propose modifications to the P-12 Clean Green Schools Initiative such that the Companies leverage rather than duplicate NYSERDA's

program.

Weatherization Health and Safety

Q. Please describe the Weatherization Health and Safety Program.

A. As proposed, the Weatherization Health and Safety Program would support the remediation of health and safety barriers to building weatherization projects at no cost to the customer.

Q. What types of customers would be eligible for the program?

A. The program would serve LMI customers and customers in Disadvantaged Communities.

Q. What types of remediation measures would the program support?

A. According to the Customer Panel's direct testimony, the program would provide non-energy related services to address health and safety barriers to energy efficiency for LMI and Disadvantaged Community households, including remediation of carbon monoxide hazards, mold, pests, insufficient wiring or ventilation, plumbing problems, blocked access to spaces in the home, and unsafe appliances.

Q. Do services provided by the program result in direct energy savings?

A. No.

Q What are the costs associated with the Program?

A. The Companies propose Weatherization Health and Safety Program funding for KEDNY at $0.750 million per year, and for KEDLI at $1.75 million per year as shown in the Companies' Exhibit___(CP-6), Schedule 1.

Q. How do the Companies propose to fund this program?

A. As explained on page 99 of the Companies' Customer Panel's direct testimony, the Weatherization Health and Safety Program is a continuation of a pilot initially funded by National Grid shareholders, however, the Companies now propose to fund the program with ratepayer funds.

Q. Does the Staff Panel support the proposed Weatherization Health and Safety Program?

A. No. The Panel acknowledges that programs aimed at reducing barriers to LMI and Disadvantaged Community participation in weatherization efforts can improve the comfort and safety of

customers' homes and ultimately pave the way to reduce their energy bills. However, the Panel has concerns about the appropriateness of allocating ratepayer funding within these current rate proceedings to support measures not directly related to customers' energy use or energy savings. Further, the Panel is concerned about an individual utility's ability to design and administer programs focused on non-energy measures without additional process, including information gathering and stakeholder engagement, to properly calibrate the State's approach to health and safety barriers to energy efficiency and building electrification.

Q. Is the Panel concerned about using the rate case process to authorize one utility to address non-energy measures aimed at health and safety?

A. Yes, the Panel has significant concerns about adopting an ad hoc, and potentially under-resourced, approach to addressing health and safety barriers, which are common across all utility service territories. Any program aimed at addressing health and safety related barriers to energy efficiency should be developed and

implemented in a coordinated and intentional manner. Therefore, these types of programs should be addressed in the Commission's on-going NE:NY proceeding, thereby allowing the Commission to adopt uniform guidance and program requirements for all utilities.

Q. What are the Panel's recommendations regarding the Weatherization Health and Safety Program?

A. The Panel recommends the Commission reject the Companies funding request for the Weatherization Health and Safety program. As stated above, this program would be a departure from the types of work typically supported by utility programs and there is no assurance that such remediation work will lead customers to make the energy efficiency upgrades upon which the Companies seek to justify the program. While the Panel recognizes health and safety barriers to weatherization are a significant challenge to EE and energy equity statewide, the Panel strongly believes that this issue should be considered generically within the NE:NY proceeding, rather than in individual utility rate proceedings.

Q. What is the benefit of developing an approach to

address these types of non-energy barriers to energy efficiency in the Statewide NE:NY Proceeding?

A. Developing a coordinated, statewide approach to addressing non-energy barriers, which should and can only occur through the generic proceeding, would allow DPS Staff and the State's energy efficiency program administrators to gather and analyze information across the State to better define the scale and scope of the issues and develop a set of targeted solutions that best meet the needs of the State's LMI customers and those customers within Disadvantaged Communities.

Language Access Pilot

Q. Please describe the Language Access Pilot.

A. The Companies propose to identify best practices and engage services, either in-house marketing services and/or specialty vendors, to provide a mix of language accessibility services to develop and deploy various communications specific to the KEDLI and KEDNY EE portfolios.

Q. What specific need does this pilot address?

A The Companies explain that they have identified

language access as a barrier to EE program participation in Disadvantaged Communities and by LMI customers. According to the Companies, this problem arises from the fact that customer inquiries about EE programs are directed to external implementation vendors, rather than the Companies' in-house call center.

Q. What funding levels do the Companies request to fund the Language Access Pilot?

A. The Companies propose $0.250 million to implement the Language Access Pilot in the Rate Year, split equally between KEDNY and KEDLI. Each Company would incur $0.125 million is costs in the Rate Year.

Q. Why do the Companies propose funding this program outside their authorized NE:NY budgets?

A. As stated on page 104 of the Companies' Customer Panel's direct testimony, the Companies explain that the Language Access Pilot is an untested tool to increase participation and does not result in direct energy savings therefore incremental funding is needed. As such, the Companies argue that they will be able to test and evaluate these strategies without creating a

misalignment in the run rate of individual programs.

Q. Does the Panel have any recommendations with respect to the Language Access Pilot?

A. The Panel agrees with the Companies that they should improve access to EE programs, particularly for LMI customers and customers in Disadvantaged Communities, by identifying language barriers and implementing communications in multiple languages. Indeed, the Commission identified language access as a priority in the Order Directing Proposals. As discussed on pages 29 to 30 of the Order, the Commission directs the Utilities to conduct a comprehensive review of their EE and BE program materials and create a plan for addressing any deficiencies related to language access. While the Panel supports improving translation services to increase LMI and Disadvantaged Community participation in EE programs, we do not support funding outside the NE:NY budget levels. The Panel does not agree with the Companies' position that language access services are novel, and that they would not or

do not result in direct energy savings. Further, the Panel does not agree that those services should be funded outside the NE:NY budget.

Q. What costs are included in NE:NY or EE budgets?

A. With the exception of EE-related labor costs, the Commission's authorized EE budgets include all costs associated with program implementation, including marketing; evaluation, measurement, and verification, or EM&V; program administration and overhead; and customer services and incentive costs. While the Commission's Order Directing Proposals allocated primary responsibility for "general consumer awareness and education" to NYSERDA, rather than the utilities, the Order states, on page 66, that "the Commission expects that NYSERDA-initiated general awareness and education activities will not wholly replace the need for utility specific program marketing, such as utility outreach to Disadvantaged Communities within their service territories." The Panel believes that the proposed Language Access Pilot falls directly under this category of outreach

envisioned and specifically recognized by the Commission as integral to the utilities' programs, and therefore to be funded through the authorized NE:NY budgets.

Disadvantaged Community Outreach

Q. What is the Companies' proposal regarding the Disadvantaged Community Pilot?

A. The Companies request $0.5 million for the Disadvantaged Community Outreach Pilot, split evenly between KEDNY and KEDLI in the Rate Year, at $0.250 million for KEDNY and $0.250 million for KEDLI. Referring to Exhibit___(CP-6), Schedule 2, the Companies state that the Pilot will test multiple strategies to engage customers within Disadvantaged Communities to participate in EE programs and to identify the most effective ways to promote the programs. The proposed outreach efforts for Disadvantaged Communities within the Companies' service territories will be performed through in-person events, localized social media campaigns, distribution of innovative educational materials, community partnerships, and customer referrals.

Q. Does the Panel have any recommendations with respect to the Companies' Disadvantaged Community Outreach Pilot?

A. The Panel does not support recovering the costs associated with the pilot outside of the already approved NE:NY budget. Consistent with the Panel's position regarding the Language Access Pilot, the Panel supports funding the Disadvantaged Community Outreach through the Companies' currently authorized NE:NY budgets and as such recommends that the Commission reject the Companies' funding request in these proceedings.

Information Technology Projects

Clean Energy 2.0 and Green Button Connect

Q. Please describe the Clean Energy 2.0 project.

A. As stated on pages 106 to 107 of the Companies' Customer Panel's direct testimony, the Clean Energy 2.0 Project is designed to replace the Companies' present demand-side management system called "InDemand." The Companies state that the InDemand system is presently used to perform detailed tracking for all energy efficiency program expenditures and savings for both

internal and external reporting requirements, however, the InDemand platform was developed in-house more than twenty years ago and has since required greater resources to maintain. The Companies explain that maintenance on the InDemand system is labor intensive, difficult to resource, and costly, at a time when the programs that InDemand is used to track are expanding. The Companies state that a new system is required to maintain the Companies' ability to execute on its energy efficiency programs. Therefore, the Companies propose to invest in the Clean Energy 2.0 platform through a Software-as-a-Service, or SaaS contract.

Q. What are the proposed benefits of investing in the Clean Energy 2.0 platform?

A. KEDNY and KEDLI explain that using the Clean Energy 2.0 platform will greatly reduce cycle time, make implementing changes to energy efficiency program tracking and reporting less dependent on program outsourcing, and simplify system maintenance. Further, KEDNY and KEDLI state that the Clean Energy 2.0 platform comes preconfigured with the Companies' most essential

requirements.

Q. You said that the Companies state that the Clean Energy 2.09 Platform will reduce cycle time – what does that mean?

A. We understand a reduction of cycle time to mean a reduction in the time it takes between when the Company identifies a necessary change or upgrade to the InDemand system to when that change or upgrade is implemented, however, the Companies did not specifically define that term in their explanation of the Clean Energy 2.0 platform.

Q. What are the costs of the Clean Energy 2.0 platform?

A. As shown in Exhibit___(ITDP-4), the Companies anticipate CapEx costs of $11.9 million during the Rate Year. Further, as stated in the Companies' response to DPS-702, as shown in Exhibit___(SEP-1), the Companies anticipate total Rate Year Service Company Rent Expense associated with the Clean Energy 2.0 project to be $0.579 million for KEDNY and $0.276 million for KEDLI. In addition, the Companies propose to hire one FTE to assist in operation of the

Clean Energy 2.0 system, split equally between KEDNY and KEDLI. As shown in KEDNY and KEDLI's respective Exhibit___(RRP-11), Workpapers to Exhibit___(RRP-3CU), Schedule 41, Rate Year Labor O&M costs associated with the Companies' FTE request are $0.083 for KEDNY and $0.085 for KEDLI.

Q. Please describe the Green Button Connect project.

A. As stated on pages 107 to 108 of the Companies' Customer Panel's direct testimony, the Green Button Connect project is designed to provide an interface for customers to share energy usage and billing data with authorized third parties, either as a one-time manually requested instance or as on automatic recurring basis. The Companies assert that their proposal to implement Green Button Connect is consistent with the Commission's directives to improve access to energy-related customer data in the Commission's December 13, 2018 Order Adopting Accelerated Energy Efficiency Targets in Case 18-M-0084.

Q. What are the costs of the Green Button Connect

project?

A. As shown on in Companies' Exhibit___(ITDP-4), the Companies anticipate CapEx costs of $0.330 million during the Rate Year. As stated in the Companies' response to DPS-706, as shown in Exhibit___(SEP-1), the Companies anticipate total Rate Year Service Company Rent Expense associated with the Green Button Connect project to be $0.103 million for KEDNY and $0.049 million for KEDLI. In addition, as stated on page 108 of the Companies' Customer Panel's direct testimony, KEDNY and KEDLI propose to hire one-half of an FTE to support implementation of the Green Button Connect project, allocated equally between KEDNY and KEDLI. As shown in KEDNY and KEDLI's respective Exhibit___(RRP-11), Workpapers to Exhibit___(RRP-3CU), Schedule 41, Rate Year Labor O&M costs associated with the Companies' FTE request are $0.028 for KEDNY and $0.029 for KEDLI.

Q. Does the Panel support KEDNY and KEDLI's proposed Clean Energy 2.0 and Green Button Connect platforms?

A. No. The Panel does not support KEDNY and KEDLI's proposals. The Companies provided sanction papers for their information technology, or IT, projects in response to DPS-457, included in Staff's Information Technology Panel's, or SITP's Exhibit___(SITP-1), however, the Companies did not include sanction papers for the Clean Energy 2.0 and Green Button Connect in that response. Since the Companies have not provided sanction papers for the Clean Energy 2.0 and Green Button Connect platforms, we are concerned that KEDNY and KEDLI have not justified their costs, scope, and timing of these projects. Our concern is particularly salient for the Clean Energy 2.0 platform, which represents a nearly $60 million investment at the Service Company level between fiscal years 2024 and 2028, as shown on page 1 of Exhibit___(ITDP-4).

Q. Why is the lack of sanctioning papers so important?

A. The Staff Information Technology Panel discusses the Companies' process for developing IT projects, such as the Clean Energy 2.0 and Green

Button Connect projects. As stated in the Staff Information Technology Panel's testimony, development of sanction papers is the last step prior to the Companies' internal process for approving an IT project to be implemented. Prior to the development of the sanction paper, the Companies may not have established technical requirements needed for the project or completed the designs for the solution the project is intended to solve for. Further, where the sanction paper establishes a cost estimate expected to be accurate within a plus or minus 10 percent margin, earlier development phases' cost estimates can vary as much as plus 200 percent to minus 50 percent of the cost estimate. Cost estimates for IT projects which do not have associated sanction papers are unreliable due to the lack of a fully defined scope and significant potential variability in the cost estimates for the project.

Q. What data did the Companies provide on the Clean Energy 2.0 and Green Button Connect projects?

A. In their response to DPS-457, included in Exhibit___(SITP-1), the Companies provided the

output of its Investment Estimator Tool, or IET, for these projects. As described in the Staff Information Technology Panel's testimony, developing an estimate using the IET is the first step in project development, is considered as part of the "pre-start-up" development phase, and the cost estimate developed has an anticipated variance of between plus 200 percent and minus 50 percent.

Q. What does the Panel recommend?

A. We recommend that the Commission deny cost recovery for the Clean Energy 2.0 and Green Button Connect projects at this time. We recommend the Commission not approve the Clean Energy 2.0 platform and Green Button Connect projects until the Companies have fully vetted these programs, including the development of forecast costs of the projects through sanction papers and other compelling evidence, and Staff and other parties to this proceeding have had an opportunity to review such evidence. As with other projects and programs, KEDNY and KEDLI should not receive funding for these projects unless the Companies provide compelling evidence

that the costs are justified, including a demonstration that the projects have undergone the level of scrutiny dictated by the Companies' own internal requirements. Therefore, at this time, we recommend downward adjustments to KEDNY and KEDLI's Service Company Rent Expense of $0.682 million and $0.375 million, respectively, as well as downward adjustments to the FTE headcount of 1.5 FTEs during the rate year resulting in downward adjustments to Labor O&M costs of $0.112 million for KEDNY and $0.114 million for KEDLI.

Sustainability App and Tools

Q. Please describe the Sustainability Apps and Tools project.

A. The Sustainability Apps and Tools project only appears as a line-item on page 4 of the Companies' Exhibit___(ITDP-4) and page 2 of Exhibit___(ITDP-6). The Companies' IT Panel did not provide any written testimony related to the Sustainability Apps and Tools project in its Information Technology and Digital, or ITD Panel's direct testimony. Further, as shown in the Companies' response to DPS-457, as shown in

Exhibit___(SITP-1), the Companies have not developed a sanction paper for the Sustainability Apps and Tools project. Instead, the Companies have only provided the output of their IET for the Sustainability Apps and Tools project.

Q. What are the costs associated with the Sustainability Apps and Tools project?

A. As shown on page 3 of the Companies' Exhibit___(ITDP-4), the Rate Year CapEx cost associated with the Sustainability Apps and Tools project is $1.290 million. As shown on page 2 of Exhibit___(ITDP-6), the Rate Year O&M and run-the-business, or RTB, costs associated with the Sustainability Apps and Tools project are $0.140 million and $0.000 million, respectively. The costs described in the Companies' ITD Panel's direct testimony are Service Company costs, and KEDNY and KEDLI are allocated a share of such costs through Service Company rent expense. As shown on page 2 of Exhibit___(ITDP-7), KEDNY's allocation of IT-related Service Company Rent Expense is 15.36 percent, and KEDLI's share is 9.09 percent,

therefore, the Rate Year Service Company Rent Expense associated with the Sustainability Apps and Tools project is $0.022 million for KEDNY and $0.013 million for KEDLI.

Q. Does the Panel support the Companies' proposed Sustainability Apps and Tools project?

A. No. As discussed above, the Companies have not provided a sanction paper for the Sustainability Apps and Tools project, nor did they address this program as a part of their testimony, therefore the Companies have not appropriately justified the need for the project, established a reliable program scope, or their cost estimates for the project.

Q. What does the Panel recommend?

A. We recommend that the Commission reject the Companies' request for the Sustainability Apps and Tools project and recommend concomitant negative adjustments to the Rate Year Service Company Rent Expense of $0.022 million for KEDNY and $0.013 million for KEDLI.

Gas Data Modernization

Q. Please describe the Gas Data Modernization project.

A. On page 26 of the Companies' IT&D Panel's direct testimony, the Companies state that the Gas Data Modernization project is an effort to develop a centralized data platform as part of an Integrated Energy Data Resource platform to streamline gas data retention, integration, integrity, archiving, analytics, compliance, reporting, quality and governance.

Q. What are the costs associated with the Gas Data Modernization project?

A. As shown on page 3 of Exhibit___(ITDP-4), the Rate Year CapEx cost associated with the Gas Data Modernization project is $4.589 million. The Rate Year O&M and RTB costs associated with the Gas Data Modernization project are $0.890 million and $0.400 million, respectively, as shown on page 1 of Exhibit___(ITDP-6). The costs described in the Companies' IT&D Panel's testimony are Service Company costs, which KEDNY and KEDLI are allocated a share of through Service Company rent expense. As shown on page 2 of Exhibit___(ITDP-7), KEDNY's allocation of IT-related Service Company Rent Expense is 15.36 percent, and KEDLI's share is 9.09 percent,

therefore, the Rate Year Service Company Rent Expense associated with the Gas Data Modernization project is $0.198 million for KEDNY and $0.117 million for KEDLI.

Q. Does the Panel support the Companies' proposed Gas Data Modernization project?

A. No. As shown in the Companies' response to DPS-457, included in Exhibit___(SITP-1), the Companies have not developed a sanction paper for the Gas Data Modernization project. Instead, the Companies have only provided the output of their IET for the Gas Data Modernization project therefore, the Companies have not appropriately justified the need for the project, established a reliable program scope, or justified its cost estimates for the project.

Q. What does the Panel recommend?

A. We recommend that the Commission reject the Companies' request for the Gas Data Modernization project, and recommend concomitant negative adjustments to the Rate Year Service Company Rent Expense of $0.198 million for KEDNY and $0.117 million for KEDLI.

Performance-Based Ratemaking

Earnings Adjustment Mechanisms

Q. Provide a brief overview of Earnings Adjustment Mechanisms, or EAMs.

A. EAMs are metrics with targets and associated earnings opportunities designed to align utility shareholder interests with New York State energy policy goals. If the utility meets the EAM target(s), benefits are achieved, and utility shareholders earn financial rewards. The Commission initially approved EAMs in the May 19, 2016 Order Adopting a Ratemaking and Utility Revenue Model Policy Framework in Case 14-M-0101, referred to as the Track Two Order.

Q. Provide a brief overview of the EAM requirements set forth in the Track Two Order.

A. Pages 59 through 60 of the Track Two Order explained the Commission's expectation that EAMs would play a transitional role until other forms of market-based revenues are available. The Track Two Order established the Commission's preference for: outcome-based EAMs, on pages 61 through 65; EAMs that are generally positive-only, on pages 66 through 67; a maximum amount

of earnings totaling 100 basis points, on page 68; and establishing EAM awards on a sliding scale with the size of awards growing with greater achievement, on page 77. The Track Two Order also set the Commission's expectations for the types of EAM metrics it would consider and stated that rate proceedings are the proper venue for developing EAMs.

Q. What EAM metrics were discussed in the Track Two Order?

A. In general, the Track Two Order discussed EAMs designed predominantly for electric utilities only. The Track Two Order implemented a System Efficiency EAM based on both peak load reduction and improvements in load factor, on pages 73-77; an Energy Efficiency EAM based on achieving greater energy efficiency program savings or cost savings and electric usage intensity across the utility's territory, on pages 82-83; and an Interconnection EAM based on an evaluation of application quality and satisfaction of applicants with the process, on pages 86-87. Although the Track Two Order states, on page 89, that no general EAM is necessary for Customer

Engagement and Information Access, it did invite proposals for such an EAM based on customer uptake for opt-in innovative rates and initiatives related to electric vehicle adoption and ground source heat pumps, as explained on pages 89-90. Similarly, on pages 90-91, the Track Two Order invited proposals related to incentivizing greenhouse gas reductions.

Q. Please describe how EAMs have evolved since the Track Two Order.

A. Following the Track Two Order, EAMs have been primarily developed within rate proceedings. Since the Track Two Order, the Commission has considered and approved portfolios of EAM metrics, targets, and financial awards for every major investor-owned combination Electric and Gas utility multiple times as part of subsequent rate proceedings, beginning with the Commission's July 25, 2017 Order Approving Electric and Gas Rate Plans in Cases 16-E-0060 and 16-G-0061 regarding Con Edison's 2016 rate filing, and most recently in the Commission's July 20, 2023 Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate

Plans with Additional Requirements in Cases 22-E-0064 and 22-G-0065 regarding Con Edison's 2022 rate filing. The Commission approved a portfolio of EAMs for KEDNY and KEDLI as part of these Companies' present rate plan in its 2021 Rate Order.

Q. Are there other types of proceedings beyond rate proceedings where the Commission discusses EAMs?

A. Yes. While most of the work to develop EAM metrics, targets, and financial awards occurs in rate proceedings, several statewide generic proceedings have either provided significant guidance on further development of certain EAM metrics or have established new EAM metrics within such statewide proceeding. Specifically, the Commission provided guidance on development of energy efficiency-related EAM metrics in its March 15, 2018 Order Authorizing Utility-Administered Energy Efficiency Portfolio Budgets and Targets for 2019-2020 in Case 15-M-0252, its December 13, 2018 Order Adopting Accelerated Energy Efficiency Targets in Case 18-M-0084, and most recently in its Order Directing Proposals. We will discuss the impacts of the Order

Directing Proposals in more detail later in this testimony with respect to the Companies' energy efficiency EAM proposals.

Q. Please provide an overview of the EAM metrics that the Commission approved for KEDNY and KEDLI as part of the 2021 Rate Order.

A. In its 2021 Rate Order, the Commission approved a portfolio of three EAM metrics each for KEDNY and KEDLI: an Energy Efficiency Share the Savings metric, a Low- and Moderate-Income Energy Efficiency Savings, or LMI EE Savings, metric, and a Gas Peak Reduction, or GPR, metric. As approved, these metrics are effective for each calendar year from 2021 through 2023, except for the LMI EE Savings metric, which the Companies are only eligible to earn during calendar year 2023.

Q. How many basis points of maximum financial incentive are the present portfolio of EAMs worth?

A. The GPR metric has a maximum incentive of 10 basis points for each Company. The LMI EE Savings metric has a maximum incentive of five basis points. While there is no specified

maximum cap for the Share the Savings metric since the incentives are formulaically determined, in its testimony during the 2019 rate proceedings in Cases 19-G-0309 and 19-G-0310, as shown in Exhibit___(SEAMP-2) of the Staff Earnings Adjustment Mechanisms Panel's initial testimony, the Share the Savings metric could be worth up to approximately 15 basis points. Therefore, at maximum levels KEDNY and KEDLI could earn up to approximately 25 basis points during calendar years 2021 and 2022, and up to 30 basis points during calendar year 2023.

Q. Would the EAM metrics approved in the 2021 Rate Order be reasonable to continue as a part of this proceeding?

A. No. We do not support continuation of any of the three EAM metrics approved in the 2021 Rate Order into the Rate Year or beyond.

Q. Why do you not support the continuation of the Share the Savings and LMI EE Savings metrics?

A. The Commission provided additional guidance regarding development of energy efficiency EAMs as part of its July 20, 2023 Order Directing Proposals. Specifically, on pages 85-86 of the

Order Directing Proposals, the Commission states that "it will not consider [energy efficiency] or [building electrification] EAMs proposed or included as part of any new rate case filing or joint proposal submitted after the effective date of this Order and until such time and the Commission determines an appropriate path forward. Further, it would be premature to provide such EAM opportunities to utilities until the Commission and Staff have a better understanding of what the [energy efficiency] and [building electrification] portfolio budgets and targets will look like beyond 2025, and whether or not positive-only incentives are needed to encourage achievement of those targets." Further, the Commission directed "a pause to the development and institution of new EAMs tied to these programs."

Q. Please explain why the GPR metric should not be continued.

A. Similar to other Electric and Gas Peak Reduction EAM metrics, KEDNY and KEDLI's GPR metric can result in financial gains for the Companies as a result of unexpected downturns in the economy or

other negative macroeconomic impacts. Staff has observed this impact in several other utilities with similar Electric or Gas Peak Reduction metrics, including Con Edison and NYSEG and RG&E.

Q. Please describe the experience with Con Edison.

A. Concerning Con Edison, in Cases 22-E-0064 and 22-G-0065, on pages 45-50 of its initial testimony, the Staff Earnings Adjustment Mechanisms Panel described how during Calendar Years 2020 and 2021 Con Edison significantly over-achieved its Electric Peak Reduction EAM metric and nearly achieved the maximum target for its Gas Peak Reduction EAM metric, both primarily as a result of economic downturns and changes in the ways that customers use electricity and natural gas as a result of the COVID-19 pandemic.

Q. Has a similar situation occurred in the KEDNY and KEDLI service territories?

A. Yes. The GPR metrics established for KEDNY and KEDLI for the period of calendar years 2021 through 2023 are nearly identical to those approved for Con Edison for the period of

calendar years 2020 through 2022. KEDNY and KEDLI's annual reports, the first submitted on April 15, 2022 covering the winter period ending March 31, 2022, or 2021/2022 Report, and the second submitted on April 13, 2023 covering the winter period ending March 31, 2023, or 2022/2023 Report, are provided for convenience in Exhibit___(SEP-4). As shown on page 3 of the 2021/2022 Report, KEDNY achieved a peak reduction level during the winter of 2021/2022 of approximately 370 percent of GPR metric maximum target, while KEDLI achieved a peak reduction level of approximately 175 percent of its GPR metric maximum target. The Companies' performance during the winter of 2022/2023 contrasts its prior year performance, as KEDNY achieved an EAM incentive at just below the midpoint target level, whereas KEDLI did not meet the minimum achievement level to be eligible to earn an incentive, shown on page 3 of its 2022/2023 Report.

Q. Are there any actions the Companies took which could account for these differences?

A. No. As explanation for their EAM achievements,

the Companies provided nearly identical descriptions of their actions, shown on page 3 of both the 2021/2022 Report and the 2022/2023 Report: "[t]he Companies continue to undertake aggressive efforts to reduce firm peak heating consumption, including demand response, energy efficiency, and weatherization programs, encouraging customers to remain on non-firm service, partnering with Con Edison and PSEG-LI/LIPA to encourage customers to adopt heat pumps, and implementing Third-Party Solutions non-pipeline alternatives." Based on the Companies' identical descriptions, and absent any acknowledgment of significant changes in its own behavior, the most likely factors impacting EAM performance differences between the two years are weather patterns and the COVID-19 pandemic.

Q. Are there any lessons to be learned from the GPR metric?

A. Yes. Our consideration of EAM-related issues is heavily informed by the lessons learned from the GPR metric and other similar metrics. Specifically, based on experience gained with

the GPR and other peak reduction metrics, we recommend avoiding EAM metrics that could potentially result in windfalls for utility shareholders as a result of an economic downturn or other negative macroeconomic shock.

KEDNY and KEDLI's Proposed EAMs

Q. Please provide an overview of the Companies' proposed EAM metrics.

A. As shown in page 54 of the CLCPA Panel's direct testimony, the Companies propose four EAM metrics: (1) a continuation of the existing Energy Efficiency Share the Savings metric; (2) a continuation of the existing LMI EE Savings metric; (3) a new Gas Demand Response metric; and (4) a new Energy Assistance Program, or EAP, Enrollment metric. KEDNY and KEDLI propose to each be eligible for separate Share the Savings, Low Income Savings, and EAP Enrollment EAMs, whereas the Companies propose to implement the Gas Demand Response metric as a combined metric for both KEDNY and KEDLI.

Energy Efficiency EAMs

Q. Please describe the Companies' proposed Energy Efficiency Share the Savings EAM metric.

A. As discussed above, the Companies propose to continue the Share the Savings metric at both KEDNY and KEDLI. As described on 55-56 of the CLCPA Panel's direct testimony, each of the Companies would have an opportunity to earn a 30 percent share of difference between the actual dollars spent per lifetime-dekatherm during a given year against a baseline established by the Commission in the NE:NY proceeding for the non-LMI portion of their respective energy efficiency programs. The Companies propose that their opportunity to earn a financial incentive would begin once the applicable Company has met the energy efficiency savings threshold targets established by the Commission. Financial incentives under the Share the Savings metric would be earned using a formulaic method, therefore there are no specific targets proposed by the Companies.

Q. Please describe the Companies' proposed LMI EE metric.

A. As shown on pages 57-58 of the CLCPA Panel's direct testimony, the Companies propose to continue the existing LMI EE metric as approved

by the Commission in the prior rate plan, with updated targets and implementing the metric to be on an annual basis instead of on a multi-year basis. Specifically, the Companies propose to measure the energy savings associated with the LMI portions of their respective energy efficiency programs, and compare their actual achievement each year against the baseline level approved by the Commission. The Companies propose to set minimum, midpoint, and maximum targets at levels five percent, 15 percent, and 45 percent higher than the baseline level, respectively. As shown in Exhibit___(CLCPA-9) the Companies propose to earn financial incentives of 0.5 basis points, 1.0 basis points, and 2.0 basis points per year at the minimum, midpoint, and maximum achievement levels, respectively, associated with the Low Income Savings metric.

Q. Does the Panel support the Companies proposals related to the Share the Savings metric and Low Income Customer Savings metric?

A. We do not. As we discussed above, based on the Commission's guidance to pause energy efficiency

EAMs in its July 20, 2023 Order Directing Proposals, we recommend that the Commission reject the Companies' proposal to continue their Share the Savings metric and Low Income Customer Savings metrics, without replacement.

Demand Response EAM

Q. Please describe the Companies' proposed Demand Response EAM metric.

A. As explained on page 59 of the CLCPA Panel's direct testimony, the Companies propose to establish a single combined Demand Response EAM metric that would measure the sum of firm customer Demand Response program performance in both Companies against a single set of targets. As shown in page 60 of the CLCPA Panel's direct testimony, since the Companies operate several different Demand Response programs, each with different goals and relevant measurements of load relief, the Companies propose to measure the Demand Response EAM metric using a common unit of number of dekatherms, or Dth, of load relief provided per hour. The Companies state that a common Dth per hour measure will enable like-for-like comparisons of events that differ

in length between programs, and will encourage the Companies to focus on maximizing the load relief provided during events while avoiding an unintended incentive to call longer-duration events.

Q. What does it mean that the metric is a combined metric for both KEDNY and KEDLI?

A. As explained on page 59 of the CLCPA Panel's direct testimony, the combined performance of both Companies would be compared against the metric's targets. The Companies explain that, for example, achieving the minimum target would result in earnings for both KEDNY and KEDLI, however, not achieving at least the minimum target would result in no earnings for either Company.

Q. What Demand Response programs do the Companies offer, what is their intent, and how is participation in each program measured?

A. The Companies presently offer four Demand Response programs. First, the Load Shedding program is a Demand Response program intended to decrease each Company's total peak day Dth associated with their peak day supply

requirements. Participation in the Load Shedding program is measured in terms of DTh reduced per day, is targeted toward commercial and industrial customers, and allows customers capable of switching to an alternate fuel to use that alternate fuel source instead of natural gas as a way to participate in the Load Shedding program. Load relief provided through the Load Shedding program is determined on a per-participant basis by comparing participant's meter data during an event against a calculated baseline amount of usage a customer would have used absent an event.

Q. What is the second program?

A. The second Demand Response program is the Load Shifting program, intended to decrease the Company's peak-hour demand associated with decreasing future need for delivery infrastructure. Participation in the Load Shifting program is measured in terms of DTh reduced per day, is targeted toward commercial and industrial customers, but does not allow to switch to an alternate fuel source as a method for participating in events. Load relief

provided through the Load Shifting program is determined on a per-participant basis by comparing a participant's meter data during an event against a calculated baseline amount of usage a customer would have used absent an event.

Q. What is the third program?

A. The third program is the Bring Your Own Thermostat, or BYOT, program, which is used to decrease participating customers' thermostat temperature setpoints temporarily to help the Company manage both the peak-day and peak-hour needs. Participation in the BYOT program is typically measured in number of thermostats enrolled. The peak-day and peak-hour impacts for the BYOT program is determined through measurement and verification studies to determine demand reductions achieved for the program at large, as opposed to on a per-participant basis.

Q. What is the fourth program?

A. The fourth Demand Response program is the Behavioral Demand Response Program. Under the Behavioral Demand Response Program the Company

asks customers to reduce their gas usage during a peak day, without measurement or incentives.

Q. How do the Companies propose to measure achievement toward the Demand Response EAM?

A. As shown on page 59 and pages 62-63 of the CLCPA Panel's direct testimony, the Companies propose to measure the sum of the actual measured impacts of the Load Shedding, Load Shifting, and BYOT Programs on a Dth per hour basis. As shown on page 62 of the CLCPA Panel's direct testimony, the Companies propose to measure performance of all three programs during the gas day in which the portfolio achieves its highest peak hour reductions during a given winter period, regardless of what types of events – either test events, planned events, or emergency events – are called on that day. The Companies would not count Load relief provided through the Behavioral Demand Response Program toward achievement of Demand Response EAM targets.

Q. How do the Companies propose to set baseline and target levels for the Demand Response EAM metric?

A. As shown on pages 60-62 of the CLCPA Panel's

direct testimony, the Companies propose to use a logarithmic growth curve derived from a rolling three years of historical DTh per hour load relief data to develop a baseline for the Demand Response EAM. The Company explains that the three-year period used to set the baseline would roll from year to year, beginning with the baseline for the Rate Year – that is, the winter of 2024 to 2025 – based on a logarithmic regression of data from the winters of 2021-2022, 2022-2023, and 2023-2024. Similarly, the Companies would set the baseline for Data Year 1, the winter of 2025-2026, based on a logarithmic regression of historical data from the winters of 2022-2023, 2023-2024, and 2024-2025, and so on. As shown on page 64 of the CLCPA Panel's direct testimony, the Companies propose to set the minimum, midpoint, and maximum targets at one percent above the baseline, two percent above the baseline, and five percent above the baseline, respectively.

Q. Did the Companies explain why they propose a logarithmic growth projection instead of a linear projection for setting the baseline?

A. The Companies rely on their expectation of slowing rates of growth in the Demand Response Program portfolio to justify use of a logarithmic projection as the baseline. As shown on pages 60-61 of the CLCPA Panel's direct testimony, the Companies explain that a logarithmic growth curve is appropriate compared to a linear growth pattern since the Companies anticipate that performance in their Demand Response Programs as a whole is likely to grow at a slower pace in the future compared to the rate of growth in the past. The Companies note that they have exhausted the pool of large customers willing to participate in the Load Shedding program. The Companies state that while the pool of customers willing to participate in the Load Shifting and BYOT Programs will remain significant, participants in those two program options typically contribute much smaller amounts of load relief per customer, thus overall growth of the Demand Response Program portfolio is expected to slow.

Q. Does the Panel support KEDNY and KEDLI's proposed Demand Response EAM?

A. No, we do not. As previously explained, in the REV Track Two Order, the Commission explained that the purpose of EAMs is to align utility business models with desirable outcomes where the traditional utility business model does not adequately incentivize the utility to achieve such outcomes. On page 59 of the REV Track Two Order, the Commission states that it approved the use of EAMs on the basis that "some of [the policy goals desired] run counter to conventional methods of operations, and importantly, also run counter to the implicit financial incentives that are embedded in the cost-of-service ratemaking model. If cost-of-service calculations are to remain the basis of utility rates for the foreseeable future, then creating new earning adjustment opportunities are both a fair and a necessary means of promoting change."

Q. Would the Commission's policies on EAMs tend to favor the Companies' proposed Demand Response EAM?

A. On page 89 of the REV Track Two Order, the Commission, as it discussed customer engagement

EAMs did express openness to EAMs for utility efforts that enhanced customer uptake of programs such as demand response programs. However, the Commission's openness to consider Demand Response Program-related EAMs should be interpreted in the context that EAMs should only be offered to the extent that promoting growth of the Companies' Demand Response Programs are contrary to the Companies' cost-of-service business model. In this instance, instead of growth of the Companies' Demand Response Programs running counter to the Companies' business model, the desired outcome of growing participation and performance in the Demand Response Programs are perfectly aligned with the Companies' existing business model.

Q. Explain how growth in the Demand Response Programs is aligned with the Companies' business model.

A. As shown in the Companies' Greenpoint Vaporizer 13 and 14 Project Report, submitted on August 29, 2022, in Cases 19-G-0309 and 19-G-0310, or Greenpoint Report, KEDNY and KEDLI are reliant on continued growth of the Demand

Response Programs to maintain their ability to supply gas to customers reliably during peak days. Page 18 of the Greenpoint Report describes how the Companies include the impact of Demand Response programs into their design day forecasts, and page 4 of the Greenpoint Report describes how the Companies risk jeopardizing reliability and potentially reliving the planned moratorium on new gas service from 2019 if their design day gas supply need is not met. Atrophy of participation and performance in the Gas Demand Response Programs would reduce the Companies' ability to meet the peak day needs of its customers, therefore it is in the Companies' best interest to maximize effectiveness of their Demand Response Programs.

Q. What does the Panel recommend regarding the Demand Response metric?

A. We recommend that the Commission reject the Demand Response metric, because the Companies business models are already aligned to maximize performance of the Demand Response Programs, and, therefore, that such outcome does not need additional incentivization in the form of an

EAM.

Q. Is there a conflict between the Commission's statement supporting EAMs to encourage customer enrollment in Demand Response programs in the REV Track Two Order and the Panel's recommendation that the Companies' proposed Demand Response EAM be rejected?

A. No. Although the Commission has expressed openness to EAM metrics that encourage customer participation in Demand Response programs, and has approved Demand Response program EAM metrics, as explained above, the Companies' proposed Demand Response EAM is not needed to align the Companies' business model with the desired outcome of increasing customer participation and performance in Demand Response programs. Thus, there is no disagreement between our recommendation and the Commission's policies because the requirement that EAMs are only offered where necessary to align a Company's behavior with desired policy outcomes supersedes the Commission's consideration of hypothetical or future customer engagement EAM metrics.

EAP Enrollment EAM

Q. Please describe the Companies' proposed EAP Enrollment EAM metric.

A. As shown on page 65 of the CLCPA Panel's direct testimony, the Companies propose to measure the average number of customers enrolled in the EAP for the previous 12 months of the program year, which runs from December 1 of each year through November 30 of the following year. The Companies state, on pages 64-65 of the CLCPA Panel's direct testimony, that the EAP Enrollment EAM would encourage increasing participation in the EAP, which acts as a gateway for identifying eligible customers for other low-income offerings, such as the low- and moderate-income Energy Efficiency Program components. Under the Companies' proposal, the Companies would earn a financial incentive for enrolling more customers in their respective EAPs than prior years.

Q. How do the Companies propose to set targets for the EAP Enrollment EAM?

A. As shown on page 65 of the CLCPA Panel's direct testimony, the Companies propose to set a

baseline for determining performance under the EAP Enrollment EAM based on the average enrollment in the EAP during the 12 months of the previous EAP program year. For example, the Companies propose to calculate the EAP Enrollment metric baseline for the Rate Year, reflecting EAP enrollment during the 2023-2024 EAP program year, using the average EAP enrollment during the 2022-2023 EAP program year. As shown on page 66 of the CLCPA Panel's direct testimony, the Companies propose to set minimum, midpoint, and maximum target levels at four percent above the baseline, six percent above the baseline, and eight percent above the baseline, respectively.

Q. Does the Panel support the Companies' proposed EAP Enrollment EAM metric?

A. No, we do not. There are three reasons why we do not support the EAP Enrollment EAM metric.

Q. What is the first reason?

A. First, the Companies argue that the EAP is a gateway for customer engagement in other low- and moderate-income program offerings, however, the Commission has previously considered whether

customer engagement EAMs should be offered and found that no general EAM was necessary. On page 89 of the REV Track Two Order, the Commission states, "[b]ecause customer engagement underlies the majority of the other outcomes that may result in utility earnings [through EAMs], and because the principal customer engagement tools have been or will be mandated, no general EAM is needed in this area." The Commission continues to state what sorts of customer engagement EAMs it would consider, "[s]uch EAMs will provide utilities the opportunity for additional earnings for taking action which affects the behavior of their customers… [f]or example, incentive awards can be provided for customer uptake of programs for opt-in time-of-use rates … demand response and energy efficiency programs, and initiatives related to fuel switching (such as electric vehicle adoption and ground source heat pumps)."

Q. What is the Panel's interpretation of the how the REV Track Two Order applies to the Companies' proposed EAP Enrollment EAM?

A. The Companies' proposed EAP Enrollment EAM

metrics do not match the criteria the Commission provided for customer engagement EAMs it would consider.

Q. What is the second reason the Panel does not support the Companies' proposed EAP Enrollment EAM.

A. As discussed above, we do not recommend any EAM metric which would potentially reward the Companies for an unexpected economic downturn, as we have observed with the Gas Peak Reduction EAM metric. Eligibility for the EAP linked to customers' income, which is often tied to employment, and employment opportunities are often tied to the health of the economy, therefore, a downturn or recession would likely increase the number of customers eligible for the EAP. At such time, this EAM could reward the Companies with a windfall at the expense of ratepayers in the event of such a downturn. This is antithetical to providing customers relief and other protections during such times. As clearly demonstrated by the Gas Peak Reduction metric discussed above such mechanisms can work against the interest of customers.

Q. What is the third reason the Panel does not support the EAP Enrollment EAM?

A. Third, the EAP Enrollment EAM has the simultaneous effect of increasing utility bills as a result of enrolling customers in a utility bill savings program. That is, incentives earned as a result of achievement of EAP Enrollment EAM targets would diminish customer savings from participating in the EAP.

Q. What does the Panel recommend regarding the EAP Enrollment EAM?

A. As the EAP Enrollment EAM is inconsistent with the Commission's requirements for a customer engagement EAM, may afford the Companies windfall benefits in the event of a recession, and because the EAM would counteract the EAP's intended impact on customers' bills, we recommend that the Commission reject the proposed EAP Enrollment EAM.

Capacity Demand Metrics

Q. Please provide an overview of the Capacity Demand Metrics established by the Commission as part of the Companies' current Rate Plan.

A. The Capacity Demand Metrics were approved as

part of the Commission's 2021 Rate Order. The Capacity Demand Metrics, provided therein, are five metrics that the Companies must achieve certain target levels as a condition of recovering the carrying costs associated with certain identified Long-Term Capacity infrastructure projects. That is, if the Companies do not achieve the target levels for each of the Capacity Demand Metrics, they will not be allowed to recover the full carrying costs of the Long-Term Capacity infrastructure projects incurred during the term of the rate plan.

Q. What are the five metrics that make up the Capacity Demand Metrics?

A. As explained beginning on page 288 of the 2021 Rate Order, the Capacity Demand Metrics are: (1) energy efficiency; (2) demand response; (3) non-pipe/third party solutions; (4) electrification; and (5) leak-prone pipe NPAs. There is also a sixth requirement that the Companies meet all five of the metrics to recover the full carrying costs of the applicable projects.

Q. Please provide a brief description of how the

Capacity Demand Metrics work.

A. Each of the five Capacity Demand Metrics have their own targets that the Companies must achieve or be precluded from recovering a specified portion of the carrying costs associated with Long-Term Capacity projects to be undertaken during the rate plan.

Q. Are there particular weightings that impacted recovery?

A. Yes, in the first rate year established by the 2021 Rate Order, the Companies were subject to the energy efficiency and demand response metrics. Failure to meet the metrics would reduce recovery weighted at 50 percent and 25 percent, respectively. Failure to meet both metrics accounted for the remaining 25 percent. In rate years two and three, the Companies were subject to all five metrics, the energy efficiency metric accounting for 25 percent with the remaining metrics each weighted at 15 percent, and the inability to meet all metrics weighted at the remaining 15 percent. The Companies' achievement of the Capacity Demand Metrics and associated authorization to recover

carrying costs for Long-Term Capacity Project costs are re-evaluated for each year of the present Rate Plan.

Q. Please summarize Companies' proposals regarding the Capacity Demand Metrics in this proceeding.

A. On pages 135 through 136 of the Customer Panel's direct testimony, the Companies propose discontinuing the Capacity Demand Metrics. Instead, the Companies state that they intend to continue to take "aggressive actions" to promote energy efficiency, demand response, electrification, and both types of NPA projects by continuing all of the existing programs. The Companies argue that there is no need for the Commission to continue the Capacity Demand Metrics to ensure the Companies' continued commitment to these activities.

Q. Does the Panel agree with the Companies' proposal to eliminate the Capacity Demand Metrics?

A. No, we recommend that the Companies continue to monitor and report on their progress toward the Capacity Demand Metrics, although we recognize that several changes are appropriate.

Q. What changes does the Panel recommend?

A. We recommend that the Commission set updated the targets for the Capacity Demand Metrics for certain metrics, and that the Commission require that the Companies report on the metrics on an annual basis instead of a quarterly basis. Further, since there are no long-term capacity projects for which additional review is required, we recommend that the Capacity Demand Metrics be used as a scorecard, for informational purposes, and potentially as the basis for a Negative Revenue Adjustment in the future if the Companies do not continue to act in accord with the present Capacity Demand Metric portfolio to the benefit of the Companies' customers.

Q. Which Capacity Demand Metrics' targets should be updated?

A. We recommend that the targets for the energy efficiency, demand response, and electrification metrics be updated. Specifically, the energy efficiency metric target should be updated to the new energy efficiency program targets once authorized by the Commission, commensurate with

the process established in in the Order Directing Proposals. Although we do not support the Companies' proposed Demand Response EAM metric, as previously discussed, we recommend that the demand response metric targets be updated using the methodology that the Companies propose for setting the baseline for their proposed Demand Response EAM. For the electrification metric, we recommend that the targets be updated based on the recent results of the Companies referral efforts to the Con Edison and PSEG LI/LIPA Clean Heat Programs.

Q. How and why should the electrification metric targets be updated?

A. As shown on page 12 of the Companies' Rate Year 3 and First Quarter 2023 Capacity Demand Metric Report filed on April 28, 2023 in Cases 19-G-0309 and 19-G-0310, or 2023 Capacity Demand Metrics Report, the Companies have significantly over-achieved the number of referrals to other utilities' Clean Heat Programs. The Companies overachieved their target for referrals to Con Edison's Clean Heat Program by approximately 42 percent and have overachieved their target for

referrals to PSEG LI/LIPA's Clean Heat Program by approximately 115 percent. We recommend that the electrification metric targets be updated to match the Companies' performance demonstrated in the 2023 Capacity Demand Metrics Report, thus, we recommend the target be set at 785 referrals per year. Additionally, the Commission should require the Companies to report on their efforts coordinating with Con Edison and PSEG LI/LIPA to maximize opportunities to spur customers to convert to heat pumps instead of taking natural gas service.

Q. Why should the reporting cadence be reduced from quarterly to annual?

A. Our recommendation to reduce the reporting cadence from quarterly to annual reflects a recognition that the usefulness of the Capacity Demand Metrics will predominantly be for determining whether the Companies are putting in adequate effort in their energy efficiency, demand response, electrification referrals, and NPA development efforts after the fact. The existing quarterly reporting process captures a snapshot of a point in time but would not be

especially useful beyond receiving a status update to determine if the Companies are making adequate progress during the year. Staff can and does monitor the Companies' intra-year progress without the more frequent formal reporting requirements.

Q. Does this complete your testimony?

A. Yes.